

DEAL INTELLIGENCE

A \$7M Loan in Pataskala Tests Which Industrial Assets Still Attract Bank Debt

Associated Bank's financing of a 2022-vintage IOS building shows regional lenders are underwriting niche assets with disciplined leverage.

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A source-grounded Light Tower Insight. The complete note follows.

The building sits on 20 acres in Pataskala, Ohio, 20 miles west of Columbus. It was completed in 2022. It has 75,250 square feet under roof and 7 acres of outdoor parking. The tenant is Thayer Power & Communication. The loan is nearly \$7 million from Associated Bank.

Those are the facts. The market signal is narrower and more instructive.

This deal is not about industrial real estate broadly. It is about industrial outdoor storage, a niche that has quietly become one of the most financeable property types in the middle market. And it is about which lenders are willing to write checks for assets that are not class-A logistics warehouses.

Industrial outdoor storage, or IOS, sits at the intersection of industrial and land. The buildings are often low-rise, high-bay, or workshop-style. The value is in the paved yard. Tenants are typically contractors, utilities, telecom firms, or fleet operators who need indoor space for equipment and outdoor space for storage and staging. The barriers to entry are not construction costs but zoning and land availability near population centers.

Thayer Power & Communication fits the profile. The company installs and maintains power and telecom infrastructure. It needs a base of operations with secure yard space. The 7 acres of outdoor parking are not an amenity. They are the operating asset.

Associated Bank is not a household name in CRE finance. The Green Bay-based regional bank has a commercial real estate portfolio of roughly \$4 billion, concentrated in the Midwest and select Sun Belt markets. It is not competing with JPMorgan or Wells Fargo for large-ticket logistics deals. It is competing for exactly this kind of loan: stabilized, recently built, single-tenant, creditworthy occupant, and sized where the bank can hold the debt on its balance sheet without syndicating.

The nearly \$7 million loan amount is revealing. At roughly \$93 per square foot of building area, the loan-to-value ratio is likely conservative, assuming a typical IOS valuation of \$120 to \$150 per square foot for a 2022-vintage asset in central Ohio. The debt yield is probably in the low teens. The structure is straightforward: a regional bank providing permanent financing for a stabilized asset with

a lease in place.

That is the capital markets story. Regional banks are not closed for business. They are underwriting selectively. They want assets with a clear use case, a tenant whose business is not discretionary, and a basis that leaves room for rate increases. This deal checks all three boxes.

The borrower structure also matters. Transport Properties is a specialist IOS developer and operator. GFH Partners is a global real estate asset manager and a subsidiary of GFH Financial Group, a Bahrain-based investment bank. The partnership pairs local operating expertise with institutional capital. That combination is increasingly common in niche industrial sectors where scale is fragmented and underwriting requires market-specific knowledge.

For GFH, the deal is a small piece of a larger strategy. The firm has been building a U.S. industrial portfolio through joint ventures with operators. This loan is not transformative for GFH. But it is evidence that the firm can execute on the ground and secure local financing for its assets.

For Transport Properties, the loan is a liquidity event that allows the partnership to recycle capital. The building was completed in 2022. The lease is in place. The financing is done. The next step is to find the next site, the next tenant, and the next deal.

The broader implication is about capital allocation in the middle market. IOS is not a sector that attracts large institutional debt funds or CMBS execution. The loan sizes are too small, the assets too specialized, and the underwriting too dependent on local knowledge. That leaves the field open to regional banks, credit unions, and a handful of debt funds that have built IOS-specific platforms.

Associated Bank is making a deliberate bet that this niche will produce consistent, low-loss performance. The data supports the bet. IOS has historically shown low vacancy, strong rent growth, and minimal obsolescence risk because the buildings are simple and the land is the scarce input. The sector also benefits from secular tailwinds: e-commerce, infrastructure spending, and the need for last-mile staging space near growing suburbs like Pataskala.

Pataskala itself is part of the Columbus MSA, which has been one of the strongest industrial markets

in the Midwest. The region benefits from population growth, logistics infrastructure, and a diversified economy anchored by Ohio State University, insurance, and advanced manufacturing. A 2022-vintage building in that submarket with a credit tenant is exactly the kind of asset that a regional bank can underwrite with confidence.

The deal is not a signal that industrial lending is booming. It is a signal that disciplined underwriting on the right asset with the right sponsor still attracts debt capital. The market is bifurcated. Class-A logistics warehouses in primary markets are being financed by life companies, CMBS, and large banks. Smaller, specialized industrial assets in secondary markets are being financed by regional banks that know the terrain.

For owners of IOS assets, the message is clear: if the building is stabilized, the tenant is solid, and the basis is reasonable, there is a lender willing to write the check. The key is finding the lender that understands the asset class and has the balance sheet to hold the loan.

For regional banks, the message is equally clear: IOS is a lending niche worth building. The underwriting is manageable, the performance history is strong, and the competition is limited. The bank that develops IOS expertise can capture a defensible share of a growing market.

The deal is small. The implications are not. A \$7 million loan in Pataskala, Ohio, is telling the market that capital is available for the right asset, the right sponsor, and the right structure. The question for every owner and lender is whether their asset, sponsor, and structure qualify.

SOURCES

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<https://rebusinessonline.com/associated-bank-provides-7m-in-financing-for-ohio-industrial-building/>

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